Synopsis report on the Call for Evidence on the implementing act on the calculation methodology for the definitive phase of the CBAM

1. EXECUTIVE SUMMARY

The European Commission launched three Calls for Evidence (CfEs) to support the preparation of the implementing acts for the definitive phase of the Carbon Border Adjustment Mechanism (CBAM). The calls for evidence covered the following three areas: (i) methodology for the definitive period, (ii) the carbon price paid in third countries, and the (iii) free allocation adjustment. The synopsis report focuses on the feedback received on the methodology.

On the consultation on CBAM methodology for the definitive period, 246 free-text inputs supplemented with 134 attachments were received. Stakeholders' responses focused on four core areas:

- The calculation of direct embedded emissions;
- The determination of embedded emissions for electricity;
- The treatment of indirect emissions for cement, fertilisers and sintered ore; and
- The setting of default values for goods other than electricity.

Across these topics, respondents consistently called for greater clarity, transparency and stability in the methodology. Many stressed the need for well-defined system boundaries, clear guidance on reporting rules and alignment with existing standards such as ISO-based Product Carbon Footprint (PCF) frameworks and EU ETS benchmarks. Data availability emerged as a common challenge, particularly for precursor emissions and complex supply chains. This concern translated into broad support for maintaining access to default values while ensuring that they are representative, regularly updated and accompanied by transparent methodological documentation.

Electricity-related comments highlighted strong concerns about the representativeness of country-average default emission factors. The majority of the respondents who raised issues about emission factor methodology, called for more granular and technically robust approaches, clearer criteria for using actual values and practical rules for Power Purchase Agreements (PPAs) and metered supply. Six respondents also requested refinements to attribution rules to avoid double counting or misallocation of emissions. Indirect emissions were viewed as a horizontal issue affecting multiple sectors. Stakeholders were divided between those advocating for a more limited approach to reduce administrative complexity and those calling for broader inclusion to ensure comparability across production routes.

A large share of respondents (78.6%) also raised issues outside the scope of the implementing act, including competitiveness and carbon leakage, the future of free allocation, risk of carbon leakage for exports, CBAM scope adjustments, and broader trade or regulatory concerns. These comments were captured for statistical purposes but not analysed further, as they relate to primary legislation rather than the implementing act.

Stakeholders broadly support clearer and more predictable rules, better alignment with existing standards and realistic pathways for using actual emissions, complemented by reliable default values where data constraints persist. The main areas requiring careful balancing are the treatment of indirect emissions and the long-term role of default values, where views differ significantly across sectors and regions. There is overall consensus among stakeholders that actual data should be the primary basis for reporting embedded emissions and that default values should continue to be a fallback option into the definitive period. Around 34% of respondents (of which 80% were from the EU or EFTA) supported the view that the use of actual data could be incentivised through the mark-up default values; whereas circa 66% of respondents supported the use of default values calculated without a mark-up (50% from the EU or EFTA, 50% from the rest of the world).

2. INTRODUCTION AND SCOPE OF WORK

To support the preparation of the implementing acts for the definitive phase of the Carbon Border Adjustment Mechanism (CBAM), the European Commission (DG TAXUD) launched three Calls for Evidence (CfEs) [1]. Each Call focused on one of the implementing acts that will operationalise key elements of the CBAM framework:

- Implementing act on the calculation methodology – rules for determining embedded direct and indirect emissions in CBAM goods, including the use of actual values and default values[2];
- Implementing act on free allocation adjustment – rules for adjusting the number of CBAM certificates to be surrendered in order to reflect the gradual phase-out of free allocation under the EU Emissions Trading System (ETS);
- Implementing act on carbon pricing – rules for deducting from the CBAM liability the explicit carbon price paid in a third country.

Through these CfEs, stakeholders were invited to provide feedback, information, data and evidence on the technical, practical and administrative implications of the proposed rules for these implementing acts.

The three CfEs received a total of 517 stakeholder responses: 246 free-text inputs supplemented with 134 attachments for the consultation on CBAM methodology for the definitive period; 145 free-text inputs along with 88 attachments for the consultation on the carbon price paid in a third country; and 126 free-text inputs supplemented with 72 attachments for the consultation on adjusting the requirement to surrender CBAM certificates to take account of free Emissions Trading System (ETS) allowances.

In addition, 8 responses were sent by email directly to the Commission, containing material relevant to more than one Call for Evidence.

The Responses to the three CfEs were submitted by a wide range of stakeholders across the EU and internationally. Most inputs came from companies and business associations active in CBAM-covered value chains, with strong participation from the iron and steel, general industrial and electricity sectors, and more limited participation from aluminium, cement, fertilisers and chemicals sectors. More than 40 percent of contributions came from non-EU countries, reflecting significant interest from trading partners.

2.1 Outputs of this work

This Synopsis Report consolidates and analyses stakeholder feedback from the Call for Evidence (CfE) on the CBAM methodology.

More specifically, the report aims to:

- Provide an integrated overview of stakeholder feedback organised by key topic;
- Highlight areas where stakeholder views converge or diverge, including differences between stakeholder groups and sectors;
- Identify issues that may have implications for the design, implementation or administration of the implementing act.

2.2 Scope and stakeholders

The consultation was open to all members of the public, including companies, business associations, NGOs, public authorities, academics, consultants and individual citizens, both within the EU and

[1] https://taxation-customs.ec.europa.eu/news/cbam-call-evidence-emission-methodology-free-allocation-adjustment-and-carbon-price-paid-third-2025-08-29_en
[2] Default values were finally adopted in a separated Implementing Act.

internationally. Inputs were welcomed from any organisation or individual with an interest in CBAM, its implementation, or its interaction with the EU ETS and international carbon pricing systems.

The scope of contributions therefore included:

- Comments on the design, clarity and feasibility of the methodologies set out in the CfE;
- Evidence concerning data availability, sector-specific constraints or operational challenges;
- Sectoral perspectives from producers, importers, traders and associations active in CBAM-covered industries;
- Views from non-EU stakeholders, including from major exporting countries;
- General commentary on the broader policy context, including issues outside the scope of the implementing acts (reported statistically only).

3. CONSULTATION METHODOLOGY

3.1 Analytical approach

The Call for Evidence invited stakeholders to provide input through stand-alone, open-ended questions and, where relevant, attachments such as position papers. Stakeholder submissions were often extensive, heterogeneous in structure, and varied widely in the level of detail provided. The analytical approach was designed to treat this material consistently and to enable comparability between the submissions received. Stakeholder inputs were reviewed and mapped to a predefined set of key topics and sub-topics reflecting the structure of the Commission's CfE. This process combined manual review with targeted keyword searches so that comments relevant to the methodology were captured, regardless of how stakeholders structured their submissions.

4. Analysis of responses to the Call for Evidence

4.1 Overview of respondents to CfE on the implementing act for the calculation methodology

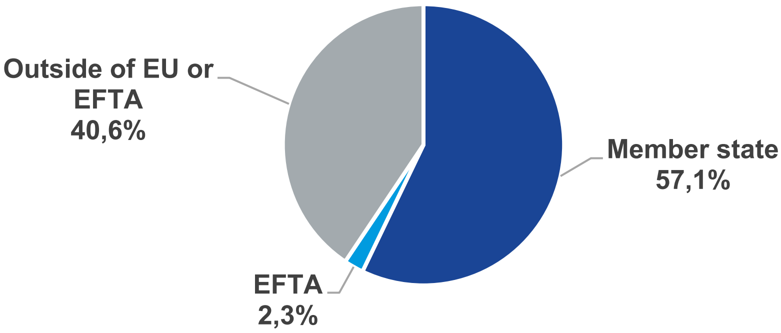
The CfE on the CBAM methodology for the definitive period received **266 valid stakeholder submissions** that were retained for the analysis. These included free-text responses submitted through the consultation platform and a range of attachment-based inputs such as position papers, technical notes and letters. In addition, five duplicate responses were identified and removed from the dataset provided.

Geographical distribution

Respondents represented a broad geographical spread: 152 responses (57.1%) originated from 20 Member States and 6 responses (2.3%) from EFTA. The largest shares came from Belgium (35; 13%)[3], Germany (32; 12%) and Italy (18; 7%). A further 108 responses (40.6%) were submitted from outside the EU. Of these, the largest shares came from Türkiye (15; 5.6%), China and Egypt (13; 4.9% each), and the United Kingdom (10; 3.8%).

[3] This is likely to reflect the fact that many EU-wide sector associations are headquartered in Belgium and submit responses on behalf of members across the EU. Similarly, multinational companies with a presence in Belgium often respond to EU consultations from that location.

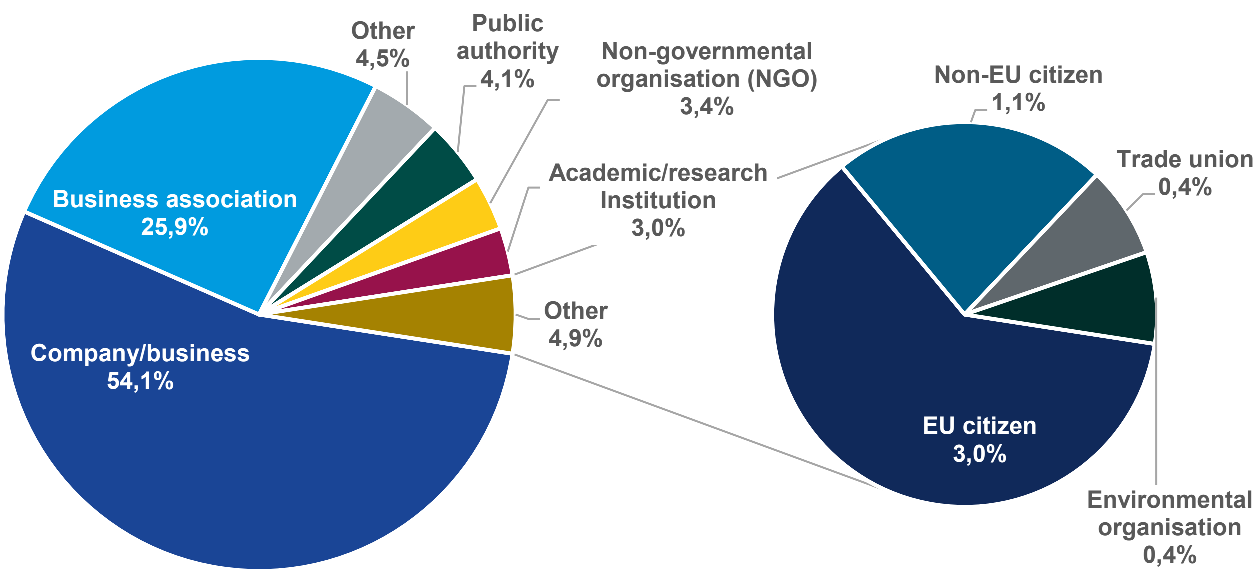
Figure 1. Geographical distribution of responses



Organisation type

The majority of inputs were submitted by businesses and industry associations, with 144 companies or businesses (54.1%) and 69 business associations (25.9%); of companies or businesses identified as being in industry sectors in scope for CBAM (n=79, 54.9%), circa 72% are manufacturers (split 47% EU 53% non-EU) and 18% are importers (split 71% EU, 29% non-EU). Other contributors were proportionately much lower in comparison, and included 'other organisations' (4.5%), public authorities (4.1%), individual citizens (4.1%, including EU and non-EU), environmental organisations (0.4%) and trade unions (0.4%). This distribution highlights that the consultation predominantly attracted respondents directly affected by CBAM obligations, particularly companies operating within CBAM-covered value chains and their representative associations.

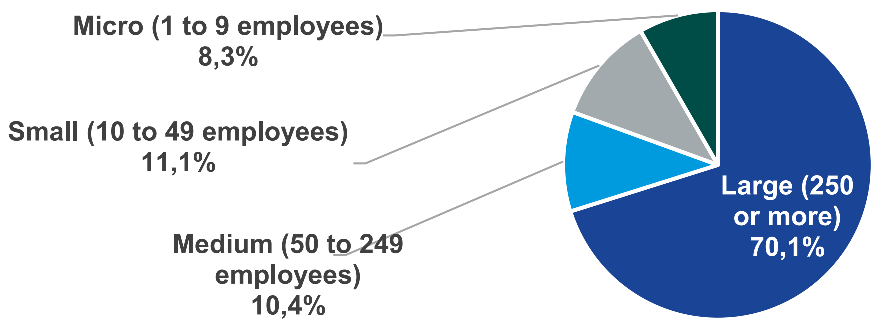
Figure 2. Type of respondent



Organisation size

Among respondents identifying as companies or businesses, participation was weighted towards larger firms, with 101 large companies (70.1%), 16 small enterprises (11.1%), 15 medium-sized companies (10.4%) and 12 micro enterprises (8.3%).

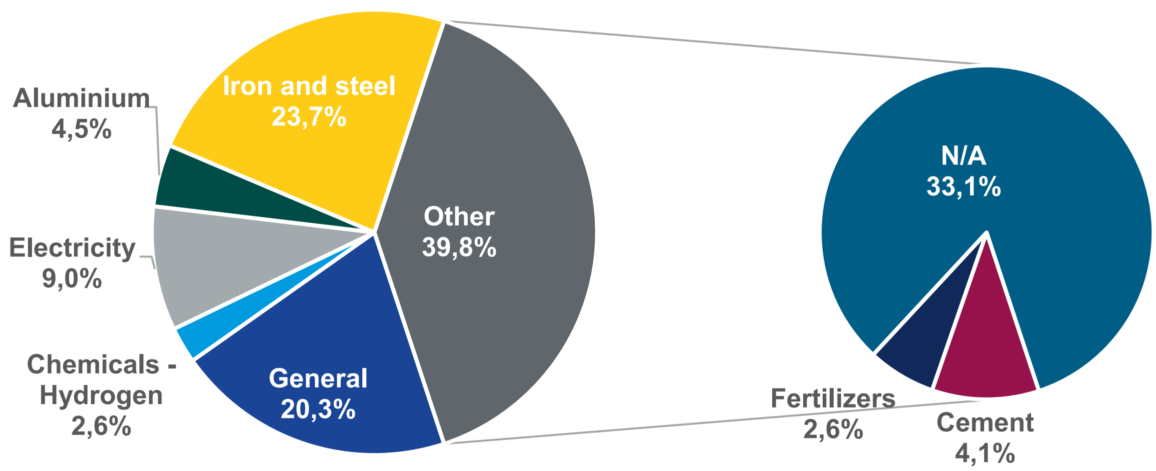
Figure 3. Respondent companies by size



Sectoral representation

Responses were received from a wide range of sectors covered by or affected by CBAM, with the most represented sectors being iron and steel (63 respondents; 23.7%), general or cross-sector (54 respondents; 20.3%), electricity (24 respondents; 9.0%), aluminium (12 respondents; 4.5%), cement (11 respondents; 4.1%), chemicals – hydrogen (7 respondents; 2.6%) and fertilisers (7 respondents; 2.6%). The remaining respondents either represented smaller sectors or did not specify an industrial sector.

Figure 4. Respondents by sector



Type of submission

A significant share of respondents provided **substantive inputs**, such as detailed position papers. These allowed stakeholders to elaborate on technical and sector-specific issues that could not be fully expressed in free-text fields. Of the 266 responses, 151 (56.7%) included an attachment.

4.2 Quantitative and qualitative analyses of stakeholder responses

In several instances, respondents raised points that fall outside the scope of the implementing acts under consultation. These include political positions, broader policy considerations, or issues that would require amendments to the CBAM Regulation itself or even to the EU ETS Directive. For such inputs and for the purpose of the work on the methodology, only statistical information was collected, namely how frequently each topic was mentioned and by which sectors.

Examples of out-of-scope issues raised by stakeholders include:

- Extending the scope of CBAM to additional goods, precursors, downstream products or certain types of scrap;
- Calls for continuing free allocation beyond 2034, or for more generous indirect cost compensation under the EU ETS;
- Requests for measures to address carbon leakage on exports;
- Suggestions to link the UK and EU ETS, accompanied by mutual exemptions from CBAM obligations;
- Proposals for strengthened enforcement, such as increased customs checks or sampling.

A similar statistical-only approach was applied to generic claims, such as high-level calls for reduced administrative burden, where stakeholders did not provide concrete methodological issues or actionable proposals.

The detailed quantitative analysis of stakeholder inputs, together with the identification of core methodological issues and the options proposed by respondents for addressing them, is presented in the following sections.

4.3 Analysis of responses to Call for Evidence on methodology

4.3.1 Overall engagement and distribution of comments

Respondents focused on topics relating to the setting of default values (n=135, 50.8%), on direct embedded emissions (n=106, 39.8%), and on the treatment of indirect emissions (n=89, 33.5%) including electricity. By contrast, the number of respondents commenting specifically on electricity methodologies (n=36; 13.5%) or on indirect emissions for cement, fertilisers or sintered ore (n=41; 15.4%) was lower, though these topics generated technically detailed submissions.

Across topics, inputs were received primarily from companies and business associations, with a broad representation of both EU and non-EU stakeholders and in particular high participation from the sectors currently in scope for the CBAM.

4.3.2 Analysis of stakeholders' responses

Stakeholders raised a wide range of concerns across the four methodological areas addressed by the Call for Evidence. Comments focused primarily on the scope and clarity of requirements, data availability, treatment of indirect emissions, representativeness of default values, and administrative feasibility.

Companies and business associations provided most submissions on direct emissions and default values, with balanced representation of EU and non-EU respondents. Electricity-specific issues attracted a broader set of respondents, including NGOs and public authorities. Several areas (particularly indirect emissions and long-term default-value flexibility) generated divergent views reflecting differences in sectoral structures, supply-chain complexity, and the maturity of existing Monitoring, Reporting and Verification (MRV) systems. The sections below summarise the central issues raised.

Calculation of direct embedded emissions

This topic received substantial engagement, with 106 respondents (39.8%) submitting comments. Stakeholders highlighted several issues relating to methodological clarity, system boundaries, and data requirements. A major area of concern was the scope of emissions covered, raised by 32 respondents (12.0%). These stakeholders called for clearer system boundaries and certainty regarding which process emissions must be included. Four respondents considered that the current system boundaries were incomplete and requested the inclusion of additional upstream steps, such as for the iron and steel sector (for coke production) and the aluminium sector (for the refinery step). In the metals sectors three respondents supported limiting scope to direct emissions only, whilst an equal number said indirect emissions should be included, in particular for the Electric Arc Furnace (EAF) production route. These replies reveal divergent views on the balance between administrative simplicity and methodological completeness. Steel stakeholders, both EU and non-EU, also raised issues related to the treatment of waste gases, the need for reporting approaches that better capture product complexity and emissions intensity, the differentiation between EAF and Blast Furnace – Basic Oxygen Furnace (BF-BOF) pathways, and the recognition of emerging hybrid production routes. Where stakeholders mentioned continuity with the transitional methodology this was seen as advantageous as it preserves predictability. Others asked for clearer and more detailed guidance on system boundaries and reporting rules, including worked process-flow examples, to promote consistent interpretation.

Recognition of sector-specific standards was raised by 14 respondents (5.3%), mainly in aluminium and steel sectors. Stakeholders highlighted established product carbon footprint (PCF) methodologies already used in industry and requested clarity on whether these could be used under the CBAM. Specifically, stakeholders referred to ISO-based frameworks, and aluminium and steel PCF methodologies. They argued that lack of recognition risks duplication and inconsistency.

Stakeholders also stressed persistent difficulties in obtaining precursor emissions data, with 29 respondents (10.9%) reporting that suppliers often cannot provide reliable, verified information. They pointed to ferro-alloys, primary aluminium and intermediate materials as recurring problem areas. To address persistent data gaps, respondents recommended the establishment of harmonised fallback values for key precursors or the use of country-average values, updated periodically.

A further 16 respondents (6.0%) called attention to the administrative burden of direct-emission reporting, especially for multi-stage production and smaller firms. They noted that highly granular MRV systems requirements risk imposing disproportionate burden relative to accuracy gains while expanding the possibilities to use default values could reduce the administrative burden especially for SMEs.

Finally, 44 respondents (16.5%) raised other concerns, including the general complexity of the methodology, feasibility challenges for global supply chains, traceability difficulties for traders and distributors, and uncertainties around specific technical requirements (e.g. measurement methods, treatment of process gases). Several also called for clearer guidance and more comprehensive examples.

Determination of embedded emissions for electricity as a CBAM good

Electricity-related issues were raised by 36 respondents (13.5%), mostly from electricity-intensive sectors as well as electricity producers and system operators. The most prominent issue, raised by 24 respondents, concerned the representativeness of emission factor methodologies. Many respondents argued that the existing country-average default values (based on “CO_2 Emission factors”, which reflect the emission intensity of electricity production from fossil fuels) do not consider differences between fossil- and renewable-based electricity, potentially penalising producers in low-carbon systems. Stakeholders encouraged greater granularity in electricity emission factors, including hourly or time-specific values where data exist. Several proposed allowing national datasets to support alternative default values, provided the data meet agreed criteria. 17 respondents raised considerations related to the criteria for using actual emission factors. Stakeholders considered that some proposed conditions, such as demonstrating the absence of grid congestion, were impractical and risked discouraging the use of low-carbon electricity. Respondents asked for simpler and more workable conditions for using actual factors, including relaxing requirements on demonstrating congestion, broadening the types of PPAs that are accepted and allowing the use of verified real-time data. Some also recommended refining attribution rules so that the CBAM liability only reflects the actual carbon content of the electricity imported. Attribution and double counting concerns were raised by 6 respondents (2.3%), who warned that CBAM could inadvertently attribute emissions associated with flows that are not imported (e.g. transit flows or technical losses), thereby distorting results. An additional 10 respondents (3.8%) raised other issues, including the frequency of default value updates, the treatment of multi-grid countries, and potential trade or system-operation implications arising from certain methodological choices.

Determination of embedded indirect emissions (cement, fertilisers, sintered ore)

In total, 41 respondents (15.4%) commented on this topic. The most common issue, raised by 35 respondents, concerned the use of default versus actual values for indirect electricity emissions. Stakeholders called for clarity on how PPAs, metered supplies, or other sourcing arrangements could be used to demonstrate actual emissions and stressed the importance of avoiding double counting. Several noted overlap with the electricity methodology and requested consistent rules.

A smaller group, 9 respondents (3.4%), raised other concerns, including the treatment of multi-grid systems and the risk of circumvention via unverifiable PPAs.

The Commission has provided further clarity on the rules for the determination of indirect embedded emissions. Default emission factors for the electricity consumed during the production of goods are to be calculated based on the 5-year average of the emissions factor for the country of origin's electricity grid. Alternative default values are possible where region-specific official data or national statistics are available and meet the relevant criteria. The data for these must be provided to Commission in line with the specified timeframes and will be calculated on a rolling basis as a five-year average so accounting for the progressive decarbonisation of the third country's electricity grid to be reflected without shorter-term distortion from weather events etc. The elements of evidence that must be provided to demonstrate compliance with the conditions to declare actual embedded indirect emissions (including PPAs) are detailed in the annexes.

Setting of default values for goods other than electricity

This was the most frequently discussed methodological area, with 135 respondents (50.8%) providing detailed comments. The most prominent issue, raised by 104 respondents (39.1%), concerned the principles for setting default values. Stakeholders requested transparency on methodologies, datasets and any mark-up factors applied. They emphasised that default values should be representative, updated regularly, and designed to avoid resource shuffling. Around a third of respondents (80 percent of which are from Member States or EFTA countries) expressed a clear preference for an approach in which actual emissions are always prioritised, with marked-up default values used only as a fallback when actual data cannot be provided. By contrast, 69 respondents supported a more flexible model in which actual values remain the preferred option, but operators may continue to rely on default values without mark-up in clearly defined circumstances. Although a small minority supported the use of default values as the sole basis for reporting, this position was marginal in the responses analysed. These patterns indicate that the majority of stakeholders favour a balanced approach, but with a significant proportion emphasising the need to preserve the original legislative principle whereby actual emissions take precedence. 55 respondents (20.7%) commented on the long-term flexibility to use default values, generally supporting continued access to defaults (beyond the transitional phase) where upstream data are limited.

Finally, 19 respondents (7.1%) supported alternative standard default values, often referring to sectoral datasets such as those of the International Aluminium Institute and advocating for production-route-specific defaults (for example different values for BF-BOF and EAF steel). Aluminium stakeholders, in particular, highlighted the need for country-specific default values for unwrought aluminium and for recognising established sectoral standards and global datasets.

In line with respondents' focus on the principles for setting default values for goods other than electricity, the Commission has implemented changes to the CBAM Regulation. Following the simplification package adoption, declarants have the option to choose whether to report emissions based on actual values or default values, reflecting the views also expressed by a majority of respondents.

4.3.3 Cross-cutting themes

Despite differences in emphasis, several cross-cutting themes can be seen across stakeholder groups.

1. **Need for clarity, transparency and stability:** Respondents consistently expressed a preference for clear, predictable and transparent rules for calculating embedded emissions. This concern featured

prominently in comments on the scope of emissions, the definition of system boundaries, the treatment of indirect emissions, and the basis for default values. Many stakeholders stressed that substantial changes from the transitional methodology should be avoided unless necessary, citing legal certainty and feasibility.

2. **Data availability challenges and reliance on default values:** A significant proportion of stakeholders reported structural difficulties in obtaining reliable emissions data, particularly for precursors and upstream suppliers outside their control. This concern was raised under the direct-emissions topic and was echoed under indirect emissions and default values. As a result, many stakeholders supported the provision or continuation of robust, standardised fallback values, including sectoral or production-route-specific default values.
3. **Indirect emissions as a horizontal issue:** Stakeholder feedback revealed that indirect emissions are perceived as a horizontal concern, cutting across multiple sectors and stakeholder types. Views diverged on whether to broaden or narrow the inclusion of indirect emissions. Some stakeholders argued for simplicity through exclusion of indirect emissions from certain sectors, while others advocated for completeness to avoid distortions between production routes. In some cases, stakeholders from the same sectors had opposite views. This issue exceeded the scope of the CfE however, as modifying the indirect emissions scope of CBAM would require a change of the Regulation.
4. Stakeholders called for **enhanced guidance and transparency**, including updated Q&A documents and detailed examples to support consistent interpretation. They emphasised the need for timely publication of methodological rules, default values and benchmarks to enable planning. Some respondents recommended phased implementation of MRV requirements, particularly for operators in third countries, and capacity-building support where MRV systems are less mature. A further group stressed the importance of harmonising CBAM rules with EU ETS concepts to promote coherence and reduce administrative burden.

The Commission is already planning to update existing guidance documents and templates.